the government began a programme of disinvestment of the loss-making and non-strategic units in 1991.

In spite of all the shortcomings, the strategy of industrialisation by concentrating on building up long-term industrial capacity through the establishment of heavy industries has been successful in making India into a modern, industrial economy.

(d) Liberalisation: Industrial Policy Statement 1991

Finally in 1991 the Indian government announced a shift in its industrial policy to remove controls and licences, moving to a liberalised economy permitting a much larger role to the private sector. The share of the public sector was to be reduced through a policy of disinvestment and closure of sick units. This created a sea change in the economic outlook of the country, particularly from the point of view of the consumers. It is not merely that the aspirations of the growing middle class for a better standard of living in terms of availability of goods and services have been met. Even the lower income families could now buy such goods.

On the positive side, liberalisation has certainly made India a more attractive destination for foreign investment. State governments are keen to advertise that they are relaxing restrictions to improve the ease of doing business in their state. All this has created a general air of prosperity which is reflected in the growth statistics of the economy as a whole.

On the negative side, liberalisation and globalisation have resulted in a significant increase in income disparities between the top income groups and the lower income groups. The removal of ceilings on corporate salaries has widened the disparities between the salaried class of corporate executives and wage earners. The formal sector has very limited potential for additional employment and most of the new employment is generated in the informal sector, and disparities have also increased across these two sectors.

However, neither the advocates of a free economy nor leftist economists are happy with the level of liberalisation. The former want more free play of market forces to eradicate imbalances and checks to progress which are still in place. The leftists are unhappy that the state has abdicated its responsibility of ensuring and promoting social justice and welfare by allowing free play to private capitalists to exploit the economy.

9.4 Five Year Plans

India followed the example of the USSR in planning for development through five year plans. The Planning Commission was set up in 1950 to formulate plans for developing the economy. Each Plan assessed the performance of the economy and the resources available for future development. Targets were set in accordance with the priorities of the government. Resources were allocated to various sectors, like agriculture, industry, power, social sectors and technology, and a growth target was also set for the economy as a whole. One of the primary objectives of planning was to build a self-sufficient economy.

The First Five Year Plan covered the period 1951–56. Till now there have been twelve Five Year Plans in addition to three one year plans between 1966 and 1969.

The proposed outlays for a Plan take both private and public sector outlays into account. The total outlay proposed for the First Plan was ₹3870 crores. By the Eleventh Plan, it had crossed ₹36.44 lakh crores, which is an indication of the extent to which the Indian economy had grown in less than sixty years. Between the Second and Sixth Plans, public sector accounted for 60 to 70% of the total plan outlay. But since then, the share of the public sector gradually came down, and private sector began to dominate in total plan outlay.

The First Plan (1951–56) focused on developing agriculture, especially increasing agricultural production. The allocation for Agriculture and Irrigation accounted for 31% of the total outlay. After this, the emphasis shifted to industry, and the share of agriculture in total outlay hovered between 20 and 24%.

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